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Case Number: 26SMCV00048 Hearing Date: August 11, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

August 11, 2026

CASE NUMBER

26SMCV00048

MOTIONS

Demurrer and Motion to Strike portions of Second Amended
Complaint

MOVING PARTIES

Defendants Fay Servicing, LLC and Metropolitan Life
Insurance Company

OPPOSING PARTIES

Plaintiffs Shahab Rahimi and Saba Rahimi

MOTIONS

This case arises from a dispute over insurance coverage for a home destroyed in the 2025 Palisades fire.

The operative Second Amended Complaint ("SAC") filed by Plaintiffs Shahab Rahimi and Saba Rahimi ("Plaintiffs") against Defendants Fay Servicing, LLC ("Fay"); Great American Assurance Company, Inc. ("Great American"); and Metropolitan Life Insurance Company ("Metropolitan") (together "Defendants") alleges fourteen causes of action as follows:

1.

Breach of contract

2.

Fraud

3.

Negligence

4.

Violation of Civil Code, § 3273.23 (Mortgage
Forbearance Act)

5.

Breach of the Implied Covenant of Good Faith and Fair
Dealing

6.

Unfair Competition Law

7.

Intentional Interference with Prospective Economic
Advantage

8.

Violation of the Rosenthal Fair Debt Collection
Practices Act

9.

Fraudulent concealment

10. Promissory
estoppel

11. Tortious
breach of the implied covenant of good faith and fair dealing (insurance bad
faith)

12. Violation
of the California Homeowner Bill of Rights

13. Violation
of Consumer Credit Reporting Agencies Act

14. Negligent
misrepresentation

The second, fourth, eighth, ninth, tenth, twelfth, thirteenth, and
fourteenth causes of action are alleged against Fay and Metropolitan only. The eleventh cause of action is alleged
against Great American only. The other
causes of action are alleged against all defendants.

Fay and Metropolitan now demur to the first, second, third, fifth,
twelfth, and fourteenth causes of action for failure to state facts sufficient
to constitute a cause of action pursuant to Code of Civil Procedure section 430.10,
subdivision (e). They additionally demur
to the second cause of action on the ground of uncertainty pursuant to Code of
Civil Procedure section 430.10, subdivision (f).

Plaintiffs oppose the demurrer and Fay and Metropolitan reply.

REQUEST
FOR JUDICIAL NOTICE

Fay and Metropolitan request
judicial notice of the following:

1. The Grant Deed recorded on July 26, 2024, in
the Los Angeles County Recorder's Office bearing Instrument No. 20240499089, a

true and correct copy of which is attached hereto as Exhibit 1.

2. The Deed of Trust recorded on July 26, 2024,
in the Los Angeles County Recorder's Office bearing Instrument No. 20240499090,
a true and correct copy of which is attached hereto as Exhibit 2.

3. The Letter from Fay Servicing LLC to Shahab
and Sava Rahimi dated November 21, 2024, a true and correct copy of which is
attached hereto as Exhibit 3.

Regarding Exhibits 1 and 2, Courts
can take judicial notice of the existence and recordation of real property
records, including deeds, if authenticity is not reasonably disputed. (Fontenot v. Wells Fargo Bank, N.A.
(2011) 198 Cal.App.4th 256, 264-265.)

"The official act of recordation and the common use of a notary public
in the execution of such documents assure their reliability, and the
maintenance of the documents in the recorder's office makes their existence and
text capable of ready confirmation, thereby placing such documents beyond
reasonable dispute." (Ibid.) Moreover, courts can take judicial notice not
only of the existence and recordation of recorded documents but also matters
that can be deduced from the documents, including the parties, dates, and legal
consequences of recorded documents relating to real estate transactions. (Ibid.)

Accordingly, the Court takes
judicial notice of Exhibits 1 and 2.

However, there is no basis to
take judicial notice of a private letter between insurer and insured. Therefore, the Court denies judicial notice
of Exhibit 3.

ANALYSIS

1.

DEMURRER

"It is black letter law that
a demurrer tests the legal sufficiency of the allegations in a complaint."
(Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In
testing the sufficiency of a cause of action, a court accepts "[a]s true all
material facts properly pled and matters which may be judicially noticed but

disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v.

City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, "[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.

FAILURE TO STATE A CAUSE OF ACTION

i.

First Cause
of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v.

Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Here, Plaintiffs allege:

157. A valid contract existed in the form of a lender-placed hazard insurance policy issued by Great American ("Policy") covering the subject property for a policy period that included the January 7, 2025, wildfire loss, as alleged in the Retroactive Cancellation factual allegations. Defendants Fay and Metropolitan procured, maintained, and controlled that lender-placed insurance policy as the policyholder and the party with contractual authority to administer the Policy and present claims. Plaintiffs' own payment funded the lender-placed insurance contract. As alleged above, Fay and Metropolitan charged the premium for the lender-placed insurance Policy to Plaintiffs' escrow or loan account. Plaintiffs paid that premium directly or through their loan account. The premium charged was \$5,793.65, and Fay and Metropolitan later confirmed that the premium had already been charged to the loan and paid through the escrow account. Fay and Metropolitan, acting through the loan-servicing relationship, transferred or caused those funds to be transferred for the procurement and issuance of the Great American Policy covering Plaintiffs' Property for the policy period that included the January 7, 2025, wildfire loss. Plaintiffs therefore furnished the consideration for the Policy covering their Property and were direct recipients, together with the lender, of the insurance protection purchased through that transaction.

158. Plaintiffs' payment of the \$5,793.65 premium constitutes sufficient consideration for Defendants' promise to provide the insurance coverage described in the lender-placed Policy. California law recognizes that a contract requires sufficient consideration, and that a benefit conferred or prejudice suffered as an inducement to a promise constitutes good consideration. Plaintiffs paid for the lender-placed Policy through their account, and Defendants accepted the benefit of that payment in exchange for issuance and maintenance of the Policy on Plaintiffs' Property.

159. Plaintiffs' payment of the premium was not incidental to the transaction. It was the bargained-for consideration for the issuance and maintenance of the lender-placed insurance Policy covering Plaintiffs' Property during the policy period. By charging that premium to Plaintiffs' account, collecting it, and transferring it for procurement of the Policy, Defendants entered into an insurance transaction in which Plaintiffs' payment gave rise to enforceable rights to the benefits of that coverage.

160. By reason of Plaintiffs' payment of the premium, the issuance of the Policy on Plaintiffs' Property, and the transfer

of Plaintiffs' funds for that purpose, Plaintiffs were direct participants in the insurance transaction and in contractual privity with Defendants with respect to the lender-placed insurance coverage.

161. Plaintiffs were direct recipients of the insurance coverage because the Policy was issued on Plaintiffs' home, the premium was paid from Plaintiffs' funds through their escrow or loan account, and the purpose of the coverage was to insure against casualty loss to Plaintiffs' dwelling during the Policy period.

162. A motivating purpose of the contracting parties—Fay, Metropolitan, and Great American—was to provide a direct, intended benefit to Plaintiffs by curing the specific underinsurance gap identified by Fay's internal underwriting. The Policy was explicitly designed to generate repair and replacement proceeds in the event of a casualty loss, a benefit that inherently and inextricably runs to the property owner. Allowing Plaintiffs to enforce this contract is entirely consistent with the objectives of the lender-placed insurance arrangement.

163. The lender (Metropolitan) and Plaintiffs were joint direct recipients of the protection created by that contract: the lender's interest was protected first, and Fay and Metropolitan represented any remaining proceeds to be for Plaintiffs' benefit. The contract, therefore, directly protected both the collateral interest of the lender and the ownership and recovery interests of Plaintiffs in the insured Property.

164. Under the structure of the lender-placed insurance arrangement, the Policy proceeds were intended to be applied first to protect the lender's secured interest (Application of those proceeds to the loan balance would correspondingly reduce or eliminate Plaintiffs' mortgage obligation.). The insurance protection is also for the repair, restoration, or replacement of the insured Property. Because the Property belonged to Plaintiffs and the loss affected Plaintiffs' ownership and use of the Property, Plaintiffs were direct recipients of the protection afforded by the Policy, including the restoration of the dwelling and preservation of the value of their ownership interest. Plaintiffs were therefore entitled to the benefit of those insurance proceeds for the purpose of repairing, restoring, or compensating for the destruction of their Property, and the contract operated to provide that protection to Plaintiffs as owners of the insured dwelling.

165. In the alternative, in the event the court determines that Plaintiffs are not in direct privity, they are at minimum intended third-party beneficiaries of the lender-placed insurance contract. As alleged in the factual allegations, Fay and Metropolitan procured lender-placed coverage specifically because the property was deemed underinsured. Plaintiffs are express or implied beneficiaries of the Great American Policy. The Policy insured the dwelling and was obtained at Plaintiffs' expense (through their escrow account) to protect against loss to the property they owned. Thus, the contract was intended to benefit both Metropolitan and Plaintiffs (the homeowners), giving them standing to enforce it. Under California Civil Code section 1559, a contract made expressly for the benefit of a third party may be enforced by that party, and here the lender-placed Policy was procured expressly to protect against loss to Plaintiffs' dwelling, satisfying that standard.

166. Plaintiffs performed all conditions required on their part, or such conditions were excused. As alleged in the Retroactive Cancellation factual allegations, Plaintiffs promptly reported the wildfire loss, cooperated with the claim investigation, and provided the documentation requested by the insurer. To the extent performance required action by the policyholder (including claim presentation, adjustment facilitation, or coordination of benefits), Fay and Metropolitan had the authority and obligation to act in good faith to enable the Policy to perform its intended purpose.

167. The Great American Policy obligated the insurer to indemnify for direct physical loss to the property occurring during the policy period (Oct. 15, 2024 – Oct. 15, 2025), for \$1,089,000, in excess of any other collectible insurance. The lender-placed Policy could be canceled only prospectively (on a going-forward basis and with notice). The lender-placed Policy covered the January 7, 2025, wildfire loss because that loss occurred during the stated policy period. Defendants accepted payment for that Policy and represented that the coverage would remain in effect until acceptable replacement coverage was provided, at which point cancellation would occur prospectively and any refund would be limited to unearned premium. Those allegations establish that the contract called for actual insurance protection during the Policy period in exchange for the premium Plaintiffs paid. No provision of the contract, as alleged by Plaintiffs and as represented by Fay and Metropolitan, authorized retroactive cancellation or retroactive nullification of coverage after a covered loss had already occurred during the Policy period.

168. Defendants' acceptance and retention of

Plaintiffs' \$5,793.65 premium created a corresponding obligation to provide the insurance protection purchased for the Policy period, and their failure to do so after the covered loss constitutes both a failure of consideration and a breach of contract. Defendants' attempt to retroactively nullify coverage after a covered loss, in the absence of any contractual provision permitting such action, constitutes a direct violation of the Policy's terms and a material breach of the insurance contract.

169. Upon information and belief, the Great

American lender-placed Policy provides that its coverage applies as excess insurance over any other collectible insurance available for the same loss, meaning that the Policy is required to respond after exhaustion or application of any primary policy rather than eliminate coverage. Consistent with the nature of lender-placed insurance, the Policy would operate to fill any gap between the primary insurance proceeds and the covered loss up to the policy limits. By retroactively nullifying the Policy after the January 7, 2025, wildfire loss—instead of applying coverage on an excess basis over Plaintiffs' Farmers policy—Great American failed to perform in accordance with that provision and breached the contract. Defendants have failed to produce the complete policy documentation despite requests, thereby withholding the full terms of the policy from Plaintiffs while relying on selective and shifting interpretations of those terms to deny coverage.

170. Great American breached the contract by

refusing to provide lender-placed insurance benefits for a covered wildfire loss that occurred during the policy period, and by retroactively attempting to treat the lender-placed policy as inapplicable to the loss on impermissible grounds. Because the loss occurred while the policy was in force, Great American's refusal to pay constituted a material failure to perform the contract's promise of indemnity. By refusing to provide lender-placed insurance benefits after the wildfire loss, while retaining the \$5,793.65 premium that had been charged to and paid by Plaintiffs for coverage on Plaintiffs' Property, Defendants failed to provide the insurance protection purchased through that transaction. Plaintiffs paid for coverage for the Policy period that included January 7, 2025, yet did not receive the benefit of that coverage for the very loss that occurred during that period. That failure to provide the contracted-for insurance protection after accepting the premium constitutes a material breach of the contract.

171. Under the terms of the Policy and

California law, an insurer cannot cancel or refuse to honor a policy (i.e., a contract) mid-term after a covered loss except for very limited reasons.

Insurance Code §§ 675 and 676 strictly limit midterm cancellation of property insurance to specified grounds like non-payment of premium or the insured's fraud. The existence of other insurance is not an enumerated basis for cancellation in the Policy (Contract) or under § 676 and does not permit retroactive elimination of coverage after loss. Insurance Code section 676 limits midterm cancellation of residential property insurance to enumerated grounds, and Insurance Code section 677 requires written cancellation notice stating the specific statutory ground relied upon. Here, Great American's only rationale was that another policy existed – a rationale explicitly not permitted by California law. Additionally, no advance notice of cancellation was given as required by Insurance Code §§ 677 and 677.2, which mandate written notice before cancellation, with specific disclosures. Great American's retroactive cancellation and denial of coverage occurred in the context of emergency protections issued by the California Insurance Commissioner, including Bulletin 2025-1, which imposed a moratorium on cancellations and non-renewals of residential property policies in wildfire-affected areas, including Plaintiffs' ZIP code. Great American's actions disregarded the spirit and purpose of these protections and further demonstrate the unreasonableness of its conduct. Great American's attempt to backdate a cancellation after the January 7, 2025 loss, without any notice, is legally ineffective and a breach of the contract.

172. Upon the occurrence of the January 7,

2025, wildfire loss, Plaintiffs' right to indemnity under the Policy vested as a matter of law. Any attempt to retroactively cancel the Policy thereafter constitutes a breach of the duty to pay a vested claim.

173. The breach was not limited to Great

American. Fay and Metropolitan also participated directly in the insurance transaction by charging the premium to Plaintiffs' account, confirming that the premium had been paid through escrow, procuring and maintaining the Policy as policyholder, representing the scope and purpose of the coverage, and controlling the claim relationship after the loss. Having accepted Plaintiffs' payment for the coverage and having held the Policy for protection of the Property, Fay and Metropolitan were obligated not to impair, defeat, or nullify that coverage after the covered loss occurred. Fay and Metropolitan breached

that obligation by acquiescing in and facilitating the post-loss denial of coverage and by failing to take action to obtain the Policy benefits for which Plaintiffs had paid.

174. Fay's and Metropolitan's breach is further demonstrated by the fact that they charged and collected Plaintiffs' \$5,793.65 premium for the lender-placed Policy, confirmed that the premium had been paid through Plaintiffs' account, and yet failed to secure, obtain, or deliver the insurance proceeds for the covered loss.

175. Fay's and Metropolitan's roles were not limited to procurement. Metropolitan, as the named policyholder, and Fay, as its authorized servicer with control over the claim process, had the contractual right and ability to demand adjustment from Great American. Plaintiffs repeatedly requested that Fay and Metropolitan take such action, and both Defendants refused to do so. They controlled the administration and enforcement of the policy, including the ability to demand adjustment, pursue payment, and ensure that the Policy functioned as intended. Their refusal to take those actions after accepting Plaintiffs' premium directly impaired Plaintiffs' ability to receive the benefits of the contract.

176. As policyholder and servicer, Fay and Metropolitan controlled the lender-placed Policy relationship and the claim process, including the ability to demand adjustment, require compliance by the insurer, and pursue payment of Policy benefits. Plaintiffs repeatedly requested that Fay and Metropolitan work with Great American to facilitate payment of the lender-placed proceeds. Fay and Metropolitan failed and refused to do so and acquiesced in Great American's post-loss denial. Under California law, a contracting party breaches when it prevents or frustrates the other contracting party's performance and thereby deprives an intended beneficiary of the promised benefits. Fay's and Metropolitan's refusal to facilitate and demand payment after repeated requests, and their acceptance of a post-loss denial that defeated the Policy's purpose, prevented performance and constituted breach by prevention of performance.

177. Metropolitan, as named policyholders on the lender-placed Policy, had a contractual right to demand adjustment from Great American and affirmatively refused to exercise it after Plaintiffs requested they do so.

178. Fay and Metropolitan have repeatedly refused to reinstate the lender-placed insurance Policy or otherwise take steps within its control to restore or secure coverage following the post-loss denial. Fay and Metropolitan have further refused to facilitate the processing of Plaintiffs' insurance claim and, instead, have impeded the claim by declining to demand adjustment, pursue payment, or require compliance by the insurer with the Policy terms. Fay and Metropolitan have coordinated with Great American in maintaining the denial of coverage, including by accepting and reinforcing the post-loss position that no benefits are owed, thereby preventing Plaintiffs from obtaining the insurance proceeds necessary to rebuild the Property.

179. As a direct and proximate result of Defendants' breaches, Plaintiffs have been deprived of \$1,089,000 in policy benefits owed under the lender-placed insurance contract, and have suffered additional damages including, but not limited to, delay in rebuilding and recovery; increased displacement and recovery costs; increased mortgage-default exposure because the insurance funds that would have stabilized the loan were withheld; increased borrowing costs and impaired financing; and other consequential damages according to proof. These consequential damages were within the reasonable contemplation of the parties at the time the contract was formed.

(SAC
¶¶ 157-179.)

Plaintiffs adequately allege ultimate facts in support of the first cause of action: (1) the existence of the contract (SAC ¶ 157); (2) Plaintiffs' performance or excuse for nonperformance (SAC ¶¶ 157-160, 166); (3) Fay's and Metropolitan's breaches (SAC ¶¶ 173-178); and (4) Plaintiffs' resulting damages (SAC ¶ 179.)[1]

Yet, Fay and Metropolitan argue that the exhibits to the SAC and the deed of trust do not demonstrate that Plaintiffs were intended beneficiaries of the policy.

"A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." (Code Civ. Proc., § 1559.) To be deemed a third-party beneficiary under California law the following factors must be established: "(1) whether the third party would in fact

benefit from the contract, . . . (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward.”

(Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Further, “the test for determining whether a contract was made for the benefit of a third person is whether an intent to benefit a third person appears from the terms of the contract. If the terms of the contract necessarily require the promisor to confer a benefit on a third person, then the contract, and hence the parties thereto, contemplate a benefit to the third person.” (Johnson v. Holmes Tuttle Lincoln–Mercury, Inc. (1958) 160 Cal.App.2d 290, 297, citation omitted.) But “the circumstance that a literal contract interpretation would result in a benefit to the third party is not enough to entitle that party to demand enforcement. The contracting parties must have intended to confer a benefit on the third party. In determining whether the contract contemplates a benefit to the third party, the court must read the contract in light of the circumstances in which the parties entered into it.” (Souza v. Westlands Water Dist. (2006) 135 Cal.App.4th 879, 891, citations omitted.)

While Plaintiffs do not allege to have been direct parties to the insurance policy at issue, Plaintiffs allege (1) a likely benefit from the contract (SAC ¶ 163); (2) that a motivating purpose of the contracting parties was to provide a benefit to Plaintiffs, at least in part (SAC ¶ 162); and (3) that permitting Plaintiffs to bring their own breach of contract action against the contracting parties is consistent with the objectives of the contract and the reasonable expectations of the contracting parties (SAC ¶ 179).

Further, Plaintiffs allege, in paragraph 165, that they would benefit from the contract/policy and permitting them to bring a breach of contract action is consistent with the objectives of the contract/policy. Further, as set forth in Exhibit A, “Fay Servicing will be an insured on the policy and may be the named insured. The insurance we obtain may provide benefits to you but is primarily for the benefit of Fay Servicing. If you incur property damage or loss, you may not have

adequate coverage for any damages that you suffer because of Fay Servicing will be paid first.” (See SAC, Exh. A, emphasis in original & added.) Therefore, the Court finds that the terms, for pleading purposes, require the “promisors” to confer a benefit on Plaintiffs, which may be the payment of surplus insurance proceeds after Fay Servicing is paid first on the policy to pay down or off the mortgage encumbering the subject property.

Thus, Exhibit A does not contradict Plaintiffs’ allegations in the SAC. In fact, the Court finds that Exhibit A enhances Plaintiffs’ assertions, in particular, that they are intended third- party beneficiaries of the contract/policy.

Similarly, the Deed of Trust provides, “If Borrower fails to maintain any of the coverages described above, Lender may obtain insurance coverage, at Lender’s option and Borrower’s expense. Lender is under no obligation to purchase any particular type or amount of coverage. Therefore, such coverage shall cover Lender, but might or might not protect Borrower, Borrower’s equity in the Property, or the contents of the Property, against any risk, hazard or liability and might provide greater or lesser coverage than was previously in effect.” (RJN Ex. 2 at ¶ 5.)

Thus, the Deed of Trust also does not contradict Plaintiffs’ allegations either. Rather, it concedes that the lender’s coverage might protect the borrower.

As such, the Court overrules Fay’s and Metropolitan’s demurrer to the first cause of action.

ii.

Fifth Cause

of Action – Contractual Breach of the Implied Covenant of Good Faith and Fair Dealing

“Implied in every contract is a covenant of good faith and fair dealing.

The implied covenant prevents one side from unfairly frustrating the other’s right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming

breach must allege the defendant's wrongful conduct was contrary to the contract's purpose and the parties' legitimate expectations." (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Tort recovery for a breach of the implied covenant of good faith and fair dealing is generally only available in cases involving an insurance contract, where an independent duty arises from principles of tort law, or where there has been a bad faith denial of the existence of or liability under the breached contract. (Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102.) Otherwise, "a breach of the implied covenant of good faith is a breach of the contract" although "breach of a specific provision of the contract is not ... necessary" to a claim for breach of the implied covenant of good faith and fair dealing[.]" (Thrifty Payless, Inc. v. The Americana at Brand, LLC (2013) 218 Cal.App.4th 1230, 1244.)

Although the contract at issue is an insurance policy, the eleventh cause of action for the tortious breach of the implied covenant of good faith and fair dealing is alleged only against Great American, but not the demurring Defendants here. As such, the Fifth cause of action alleges a contractual breach of the implied covenant of good faith and fair dealing.

Fay and Metropolitan argue that because the breach of contract cause of action fails, so too must the contractual breach of the implied covenant of good faith and fair dealing. But because the Court overrule the demurrer as to the first cause of action for breach of contract, it similarly overrules the demurrer to the fifth cause of action.

iii.

Second Cause
of Action – Fraud

"In a promissory fraud action, to sufficiently alleges [sic] defendant made a misrepresentation, the complaint must allege (1) the defendant made a representation of intent to perform some future action, i.e., the defendant made a promise, and (2) the defendant did not really have that intent at the time that the promise was made, i.e., the promise was false." (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1060.)

The elements for fraudulent misrepresentation are "(1) the defendant

represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff." (Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 605–606.)

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Ibid.)

"One of the purposes of the specificity requirement is notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met." (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384.) As such, less specificity is required "when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy[.]" (Ibid.) "Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party." (Ibid.)

Here, Plaintiffs allege:

181. At all relevant times, Defendant Fay Servicing, LLC ("Fay") acted as the mortgage servicer for Plaintiffs' loan and was the entity that directly communicated with Plaintiffs regarding Plaintiffs' wildfire-related hardship, loss-mitigation application, deferment/forbearance request, account status, document requests, late fees, foreclosure status, and credit consequences. At all relevant times, Metropolitan was the lender and/or owner of the loan, benefited from Fay's servicing conduct, participated in, authorized, ratified, and/or directed the conduct alleged herein, and is liable for Fay's misrepresentations because Fay acted as Metropolitan's agent and servicer in connection with the loan and the loss-mitigation process.

182. Beginning in January 2025 and continuing through December 2025, Fay and Metropolitan made a series of specific representations to Plaintiffs concerning the effect of Plaintiffs' pending wildfire-related loss-mitigation and forbearance and loss mitigation application. Those representations included, among others, that while Plaintiffs' application was pending and under review: (1) Plaintiffs were not and would not be reported adversely to the credit bureaus; (2) Plaintiffs would not lose their home and foreclosure would not proceed; (3) Plaintiffs were not and would not be required to make monthly mortgage payments; and (4) late fees and similar default-related charges were not and would not be imposed. Those representations included statements that Plaintiffs' account was in a protected status while the application was pending, including that Plaintiffs were not being reported adversely to credit bureaus, that the account was not subject to foreclosure or non-retention activity. Fay and Metropolitan also repeatedly represented that Plaintiffs' application remained under review, even as they were simultaneously treating the account as delinquent, allowing fees to accrue, damaging Plaintiffs' credit, and steering the file toward non-retention outcomes, including short-sale and foreclosure pressure.

183. The representations described above were not merely promises of future conduct. Fay and Metropolitan presented these statements as descriptions of the account's existing servicing status during the review period, including that the account was then being treated as protected from delinquency, late fees, adverse credit reporting, and non-retention outcomes. These representations concerned the present condition and handling of Plaintiffs' account, not merely future intentions.

184. On or about January 13, 2025, after the January 7, 2025, wildfire had destroyed Plaintiffs' home, Plaintiff Shahab Rahimi contacted Fay and Metropolitan, reported the total loss, and requested disaster-related relief, including suspension of property-tax payments and mortgage forbearance. During that January 13, 2025, call, Fay instructed Plaintiffs to submit a Borrower Assistance Application. During the same call, Plaintiff also informed Fay that the Property had been destroyed and provided Fay and Metropolitan with an updated mailing address because mail sent to the Property would not reliably be received. During the January 13, 2025, call, Fay represented that there would be no foreclosure or late fees while the application was being processed. Fay later admitted in writing that it treated January 13, 2025 as the date of Plaintiffs' verbal loss-mitigation application and that it sent acknowledgment letters dated January 14, 2025 and January 16,

2025, regarding that application.

185. The January 13, 2025, representations

that there would be no foreclosure and no late fees while the application was being processed were material. At that time, Plaintiffs' home had just been destroyed in a wildfire, Plaintiffs were displaced, Plaintiffs' business operations were disrupted, Plaintiffs were attempting to preserve limited cash and avoid losing their home, and Plaintiffs needed to know whether the pending application would protect them from immediate default-related consequences while Fay reviewed the request. A reasonable borrower in Plaintiffs' position would attach great importance to whether foreclosure would be paused and whether late charges would stop while the servicer processed a wildfire-related forbearance request.

186. Those January 13, 2025 representations

were false when made, or were made recklessly and without any reasonable ground for believing them true. As Plaintiffs later discovered through subsequent account activity and statements, Fay and Metropolitan began treating the loan as delinquent and began charging late fees on or about February 1, 2025, notwithstanding the January 13, 2025 representation that there would be no late fees while the application was being processed. Plaintiffs also allege that from approximately February 2025 forward, Fay and Metropolitan preserved and advanced non-retention options, including short sale and foreclosure-related outcomes, despite the earlier representation that foreclosure would not proceed during review. Unbeknownst to the plaintiffs at the time, by February 2025, Fay and Metropolitan had already internally treated the account as delinquent and had begun advancing the loan toward non-retention outcomes, making the earlier statements about the account's protected status false at the time they were made.

187. On or about January 15, 2025, Plaintiffs

submitted the Borrower Assistance Application to Fay by email, as Fay had instructed. Thereafter, Fay and Metropolitan continued to maintain the appearance that Plaintiffs were in an active review process that would protect them from the ordinary consequences of delinquency while the application remained pending.

188. On or about February 3, 2025, Plaintiff

Shahab Rahimi again contacted Fay and Metropolitan. During that communication, Fay and Metropolitan represented that no mortgage payment was required while

the application was being processed and that Plaintiffs' credit was not being affected during that review period. Those representations on February 3, 2025 were specific, definite, and material. Whether Plaintiffs had to continue making monthly mortgage payments despite the pending disaster-related relief request, and whether Plaintiffs' personal credit would remain protected while the application was pending, were matters of central importance to Plaintiffs. Plaintiffs operated a construction-related business that relied heavily on personal creditworthiness, access to financing, bonding, and the ability to obtain project-related capital. Fay and Metropolitan knew that Plaintiffs' personal credit directly affected Plaintiffs' business operations.

189. The February 3, 2025 representation that no mortgage payment needed to be made while the application was being processed was false when made, or was made recklessly without reasonable grounds for believing it true, because Fay and Metropolitan had already begun treating the loan as delinquent on or about February 1, 2025 and had already begun charging late fees and allowing default consequences to accrue, even though Plaintiffs had already requested disaster-related relief and even though Fay and Metropolitan represented that no payment was required during review.

190. The representation was false because Fay and Metropolitan were internally advancing the loan toward non-retention outcomes, including short sale and foreclosure-related action, while representing that no such risk existed.

191. The February 3, 2025, representation that Plaintiffs' credit would not be affected during the review period was likewise false when made, or was made recklessly without reasonable grounds for believing it true, because Fay and Metropolitan in fact reported adverse credit information during the pendency of the application. Plaintiffs allege that adverse credit reporting occurred during the period in which Fay and Metropolitan continued to represent that the application was under review and that adverse consequences would not occur. Plaintiffs did not learn the full extent of that damage until later, when Plaintiff Shahab Rahimi sought financing for a new Los Angeles construction project and discovered that his credit score had fallen below approximately 600.

192. On or about May 1, 2025, after receiving no meaningful decision, Plaintiff Shahab Rahimi again contacted Fay and Metropolitan for an update. During that same call, Fay and Metropolitan again

represented that the application remained under review, thereby reinforcing their earlier assurances that Plaintiffs would not suffer adverse consequences while the review was ongoing. During that call, Plaintiffs again provided Fay and Metropolitan with their updated mailing address and questioned why correspondence was still being sent to the destroyed Property, where it could not be received. Plaintiffs allege that, despite this repeated notice, Fay and Metropolitan continued to send correspondence to the destroyed Property address.

193. The May 1, 2025, representation that the application remained under review was material because it communicated to Plaintiffs that they were still in a genuine loss-mitigation process and that they should continue cooperating with Fay and Metropolitan rather than taking more aggressive steps to protect their home, stop fees, contest delinquency treatment, or immediately retain counsel to address the wrongful default treatment. The representation was false or misleading because Fay and Metropolitan were simultaneously treating the account as delinquent, allowing late fees to accrue, reporting adverse credit, and continuing a pattern of delay and document cycling that preserved pressure toward non-retention outcomes.

194. On or about September 3, 2025, Fay and Metropolitan again requested updated bank statements on a phone call with the plaintiffs and stated that the previously submitted documents had not been reviewed promptly because they were busy and did not have enough time to review them. During that same communication, Fay and Metropolitan also represented that there was no risk of foreclosure while the deferment request was under review. That representation was specific and material because Plaintiffs were attempting to retain their home, not liquidate it, and needed to know whether the ongoing review process actually protected them from foreclosure activity.

195. The September 3, 2025 representation that there was no risk of foreclosure while the deferment request was under review was false when made, or was made recklessly without reasonable grounds for believing it true, because Fay and Metropolitan were continuing to treat the account as delinquent, continuing to deepen the default, continuing to position the file toward a non-retention outcome, and later in fact issued a December 8, 2025 short-sale determination warning that if Plaintiffs did not accept the short-sale offer, the loan could be referred to foreclosure, foreclosure proceedings could continue, and a foreclosure sale could occur. Plaintiffs allege that Fay and Metropolitan were already preserving and

advancing non-retention options while still telling Plaintiffs that there was no risk of foreclosure.

196. On or about October 1, 2025, Fay and Metropolitan again requested updated bank statements and again stated that previously submitted statements had not been reviewed promptly. During that application process, Fay and Metropolitan again represented that no payments were required and that Plaintiffs' credit would not be affected, even though the account had already been subjected to delinquency treatment and adverse reporting. Those representations on October 1, 2025 were material for the same reasons stated above. They were false when made, or were made recklessly without any reasonable ground for believing them true, because Fay and Metropolitan had already for months been treating the account as delinquent, allowing fees to accrue, and damaging Plaintiffs' credit while continuing to represent that Plaintiffs' application remained under review and that such adverse consequences would not occur.

197. On or about November 28, 2025, Plaintiff Shahab Rahimi again contacted Fay and was informed by Fay and Metropolitan that all required documents had been received and that the application was under review. On or about December 3, 2025, Plaintiff again contacted Fay and was informed that the application was still in process. Those representations on November 28 and December 3 were material because they conveyed that the review was still ongoing and that the account had not been directed toward a non-retention outcome. Plaintiffs allege those representations were false or misleading because Fay and Metropolitan did not disclose during those communications that they were simultaneously preparing or had already decided upon a non-retention outcome. On December 8, 2025, Fay and Metropolitan issued a written short-sale determination. On December 12, 2025, even after the short-sale determination had already been issued, Fay contacted Plaintiff Shahab Rahimi and stated that the application remained under review. That December 12, 2025, statement was materially false and misleading because Fay and Metropolitan had already placed Plaintiffs on a short-sale path, accompanied by an express foreclosure warning.

198. Fay and Metropolitan went beyond the role of a conventional lender or servicer by taking control of Plaintiffs' disaster-related forbearance and loss-mitigation process and by making repeated representations about the status and effect of that process. While doing so, Fay and Metropolitan communicated that the account was being handled in a protected review posture and that adverse consequences would not occur during

the review period.

199. At the same time, Fay and Metropolitan treated the account as delinquent, assessed late fees, furnished adverse credit information, and advanced the loan toward non-retention outcomes. These actions were inconsistent with Fay's and Metropolitan's representations and demonstrate that the representations were false or made without a reasonable basis at the time they were communicated. The representations made on January 13, February 3, May 1, and September 3, 2025 concerned the present status of Plaintiffs' account and were false or made without a reasonable basis because Defendants were simultaneously treating the account as delinquent, assessing late fees, reporting adverse credit, and advancing the loan toward non-retention outcomes.

200. The foregoing representations were not innocent mistakes. At the time Fay and Metropolitan made them, Fay and Metropolitan either knew they were false or made them recklessly and without regard for their truth. Fay and Metropolitan controlled the loss-mitigation process, decided when applications would be deemed complete or incomplete, decided what documents would be requested, controlled the account treatment, controlled whether late fees would be assessed, controlled or caused the account to be reported adversely, and controlled whether the file would be moved toward retention or non-retention outcomes. Fay later admitted in the December 8, 2025, Short Sale Letter that the account was evaluated through a process that considered both retention and nonretention options, and the facts alleged show that while Fay and Metropolitan were repeatedly telling Plaintiffs that no payment was required, no foreclosure would occur, no credit damage would occur, and the application remained under review, Fay and Metropolitan were at the same time deepening the delinquency, assessing charges, reporting adverse credit, and steering the file toward short sale and foreclosure-related outcomes.

201. Fay and Metropolitan made these representations with the intent to induce Plaintiffs to rely on them. Specifically, Fay and Metropolitan intended that Plaintiffs would continue submitting documents, continue cooperating with a rolling and repeatedly reset review process, refrain from taking immediate legal action, refrain from diverting limited post-disaster funds to emergency default mitigation, refrain from taking early steps to protect Plaintiffs' credit, refrain from seeking immediate alternative financing to stabilize their business position, and remain in a process that Fay and Metropolitan controlled while Fay and

Metropolitan increased fee accrual, deepened the default, and increased pressure toward non-retention outcomes. Plaintiffs further allege that Fay and Metropolitan intended to keep Plaintiffs from taking timely steps that might have prevented or reduced the credit damage, late fees, and liquidation pressure that Fay and Metropolitan were imposing behind the scenes.

202. Plaintiffs reasonably and justifiably

relied on these representations. Fay was the mortgage servicer and the entity administering the disaster-related relief process. Metropolitan was the lender and beneficiary of the process. Plaintiffs had no reason to believe that Fay and Metropolitan were saying one thing while doing the opposite. Plaintiffs reasonably believed that when Fay and Metropolitan represented that there would be no foreclosure, no late fees, no required payments, and no credit harm during the review period, those representations were true. Plaintiffs also reasonably believed that when Fay and Metropolitan repeatedly stated that the application was still under review, Fay and Metropolitan were genuinely considering a retention outcome rather than secretly positioning the file for short sale and threatened foreclosure.

203. In reliance on these representations,

Plaintiffs continued to pursue the forbearance and loss-mitigation process through Fay and Metropolitan; repeatedly submitted documents in response to Fay's and Metropolitan's rolling requests; refrained from taking immediate defensive measures to contest delinquency treatment; did not immediately retain counsel specifically to challenge the adverse credit reporting and fee accrual; did not immediately divert limited post-disaster funds to emergency default mitigation because they believed no payment was required during review; and continued to believe their credit and ownership position would remain protected while the application remained pending. Plaintiffs also continued to operate their construction-related business under the false belief that their credit would remain protected and available for project financing. As a result, Plaintiffs were forced to obtain alternative financing through a hard-money lender at approximately 9.25% interest and 1.5 points, substantially increasing their cost of capital.

204. Had Plaintiffs known the truth — namely,

that Fay and Metropolitan intended to continue treating the loan as delinquent, continue assessing late fees, continue damaging Plaintiffs' credit, continue sending correspondence to an address they knew was not viable, and continue steering the file toward short sale and threatened foreclosure while still

telling Plaintiffs the application was under review — Plaintiffs would have acted differently. Plaintiffs would have taken earlier measures to preserve their credit, would have sought financing alternatives sooner, would have pursued immediate legal intervention sooner, would have challenged the account treatment sooner, and would have taken other steps to protect their home and business interests sooner.

205. Plaintiffs' reliance was a substantial factor in causing damage. In or around November 2025, because Plaintiffs' construction-related business depended heavily on access to financing for development projects, Plaintiff Shahab Rahimi contacted Farid Moradi, the loan officer who had previously handled Plaintiffs' loan, to seek financing for a new Los Angeles project. After reviewing Plaintiff's credit, which had dropped below approximately 600, Moradi declined to proceed. This was the first time Plaintiffs learned the full extent of the credit damage.

206. As a further direct and proximate result of Defendants' fraud, Plaintiffs were charged more than \$7,510 in late fees, with additional late fees continuing to accrue at approximately \$682 per month. Plaintiffs allege that these fees accrued during a period when Fay and Metropolitan had represented that no late fees would be imposed and that no payments were required while the application was pending. Plaintiffs also allege that the continuing accrual of such charges increased the amount allegedly overdue, increased pressure toward default-related outcomes, and worsened Plaintiffs' financial condition.

207. As a direct and proximate result of the foregoing fraud, Plaintiffs suffered damages including, but not limited to, credit impairment, loss of access to ordinary financing, increased financing costs, loss of favorable construction-business opportunities, increased and continuing late fees and default-related charges, emotional distress, anxiety, and mental anguish associated with believing that their credit and ownership position were protected while Fay and Metropolitan were secretly damaging both, and increased pressure to surrender the Property through short sale or face foreclosure despite Plaintiffs' request for temporary disaster-related retention relief.

(SAC

¶¶ 181-207.)

Although

the SAC alleges specific facts about the what, when, and how these alleged misrepresentations took place, it does not allege who specifically at Fay and/or Metropolitan Plaintiffs spoke to, or the basis for those individuals to bind Fay and Metropolitan as entities.

Therefore,

the Court sustains Fay and Metropolitan's demurrer to the second cause of action for fraud.

iv.

Third Cause

of Action – Negligence

The elements for a negligence cause of action are duty, breach, causation, and damages. (Castellon v. U.S. Bancorp (2013) 220 Cal.App.4th 994, 998.) Here, Plaintiffs allege:

210.

Defendants owed Plaintiffs duties of reasonable care arising independently of contract, based on Defendants' affirmative undertakings, the foreseeability of harm, and Defendants' roles in administering a lender-placed insurance program and disaster-related mortgage servicing.

211.

Great American owed Plaintiffs a duty of reasonable care in claim handling because it undertook to insure the property during the policy period and undertook to receive, investigate, and respond to a claim arising from a catastrophic wildfire loss. Once Great American engaged in claim handling and positioned itself as the entity determining whether coverage proceeds would be paid, it had a duty to exercise ordinary care in applying policy terms and in avoiding unreasonable post-loss conduct that would foreseeably deprive Plaintiffs of benefits needed for rebuilding and financial stabilization. It was foreseeable that mishandling or nullifying lender-placed coverage after a total loss would cause Plaintiffs severe harm, including inability to rebuild, increased debt distress, and prolonged displacement.

212. Fay

owed Plaintiffs a duty of reasonable care because it undertook to procure and

administer lender-placed insurance and controlled the insurance relationship as policyholder. Fay's and Metropolitan's undertaking created a duty to act with reasonable care to facilitate claim processing and to seek the proceeds that the lender-placed program was designed to provide in the event of loss—particularly where, as alleged in the Retroactive Cancellation factual allegations, Fay and Metropolitan procured lender-placed coverage precisely because Plaintiffs' primary policy was insufficient. It was foreseeable that Fay's and Metropolitan's failure to facilitate, demand, or enforce payment of proceeds after a total loss would deprive Plaintiffs of rebuilding funds and would escalate default risk and credit harm. Fay and Metropolitan also owed Plaintiffs a duty of reasonable care in mortgage servicing following a declared wildfire disaster, including reasonably processing requests for disaster-related forbearance and avoiding avoidable escalation of default consequences in the face of known disaster hardship.

213. The

duties owed by Defendants fall strictly outside the conventional role of a money lender. Defendants engaged in an active undertaking by affirmatively procuring the supplemental insurance policy, assessing specific premiums against Plaintiffs, asserting control over the claims communication process, and actively misrepresenting the status of the forbearance and loss mitigation application. When a servicer actively undertakes a process that foreseeably affects the borrower's fundamental financial stability—such as the administration of a catastrophic insurance claim or the processing of a disaster forbearance—a special relationship is forged, imposing an affirmative, independent duty of reasonable care.

214.

Fay's and Metropolitan's conduct exceeded the scope of their conventional role as a mere lender of money. Under California law, a servicer or lender that actively undertakes to procure insurance for a borrower's property, or that affirmatively guides a borrower through a loss mitigation and forbearance process, assumes a duty of reasonable care. Fay and Metropolitan voluntarily assumed this duty by taking exclusive control over the lender-placed insurance policy as the named policyholder and by actively managing Plaintiffs' disaster-relief application. Fay's and Metropolitan's failure to exercise due care in these affirmative undertakings caused foreseeable, extra-contractual harm to Plaintiffs.

215.

Defendants breached this duty by actively facilitating the wrongful nullification of the insurance proceeds and intentionally escalating default actions despite their prior active undertaking to pause such activity.

216. As

alleged in the Retroactive Cancellation factual allegations, Great American breached its duty by refusing to honor coverage under a lender-placed Policy in force on the date of loss and by attempting to treat the Policy as inapplicable after loss based on an impermissible “other insurance” rationale. The existence of other insurance does not permit retroactive elimination of coverage after loss. This conduct was unreasonable because an ordinarily careful insurer would coordinate coverage and apply the Policy consistent with its purpose, rather than nullify coverage after the covered peril occurred absent legally recognized rescission grounds. Great American’s position foreseeably deprived Plaintiffs of substantial proceeds needed to rebuild and stabilize the loan relationship.

217. As

alleged in the Retroactive Cancellation factual allegations, Fay and Metropolitan breached their duty by failing to facilitate claim processing and refusing to work with Great American to obtain payment of proceeds despite Plaintiffs’ requests. Fay and Metropolitan failed to take reasonable steps within their control as policyholder and servicer to demand adjustment and payment, to challenge or correct post-loss nullification, and to act to protect Plaintiffs from the predictable harm of being left without the lender-placed proceeds. An ordinarily careful servicer in Fay’s and Metropolitan’s position would have pursued the available proceeds to preserve collateral, prevent waste, and avoid avoidable default escalation.

218. As

alleged in the Failure to Grant Forbearance factual allegations, Fay and Metropolitan also breached their servicing duty by unreasonably delaying their response to Plaintiffs’ forbearance request, allowing fees and delinquency consequences to accrue while disaster hardship was known, reporting adverse credit, and pressuring liquidation outcomes rather than timely temporary accommodation. A reasonably careful servicer, faced with a homeowner whose home had been destroyed and who requested disaster relief, would act promptly, avoid punitive fees and credit escalation, and implement temporary relief intended to prevent cascading harm during recovery. As alleged in the Failure to Grant Forbearance factual allegations, Fay and Metropolitan treated the loan as

delinquent and imposed and attempted to collect charges that flowed from their failure to provide the disaster protections described above, and it reported adverse credit information despite the disaster context and relief request. Debt-collection and servicing standards exist to prevent unfair escalation of debt through misrepresentation of debt status and collection of amounts not permitted by law, and Plaintiffs suffered those harms here.

219.

Defendants' breaches were substantial factors in causing Plaintiffs' damages. Great American's, Fay's and Metropolitan's mishandling of the lender-placed claim caused Plaintiffs to be deprived of proceeds needed to rebuild and caused a delay in rebuilding and recovery. Fay's and Metropolitan's servicing breaches caused unnecessary accrual of fees and default exposure, impaired Plaintiffs' credit, increased Plaintiffs' financing costs, and interfered with Plaintiffs' construction business, as creditworthiness is essential to operating that business. Plaintiffs also suffered emotional distress and heightened foreclosure risk as foreseeable consequences of being denied insurance proceeds after a total loss and being subjected to punitive servicing consequences during disaster recovery.

220.

These damages include foreseeable non-contractual harms arising from Defendants' negligent conduct, not merely contractual expectancy, including credit impairment, business losses, and recovery delays that flow from negligent claim facilitation and negligent disaster servicing.

221.

Negligence Per Se (Evidence Code § 669) (Against All Defendants): Pursuant to Evidence Code section 669, Defendants are presumed negligent because (1) Defendants violated statutes and regulations; (2) the violations proximately caused death or injury to person or property; (3) the injury resulted from an occurrence of the nature the enactments were designed to prevent; and (4) Plaintiffs were among the class of persons the enactments were designed to protect. Each of these requirements is satisfied here.

222.

California Insurance Code §§ 675, 676 (Restrictions on Cancellation/Reduction of Residential Property Insurance). California Insurance Code sections 676 and 677 strictly limit an insurer's ability to cancel a residential property insurance policy mid-term to specified grounds, such as nonpayment of premium

or material misrepresentation. Once a policy has been in effect for more than 60 days, cancellation is permitted only on those enumerated statutory grounds. The existence of other insurance or the occurrence of a covered loss is not a permitted basis for mid-term cancellation. In addition, Insurance Code sections 677 and 677.2 require advance written notice of cancellation, which must state the specific reason for cancellation. No such notice was provided here. Accordingly, any attempt to cancel or nullify coverage after the January 7, 2025 loss was not authorized by the policy or by California law and is legally ineffective.

223. In

violation of these Regulations, as alleged in the Retroactive Cancellation factual allegations, Great American attempted to treat the lender-placed policy as void or inapplicable after the January 7, 2025, wildfire loss based on the existence of other insurance. The existence of other insurance is not the type of enumerated ground that authorizes retroactive elimination of coverage after loss. Great American's conduct effectively functioned as an after-the-fact cancellation or reduction to zero coverage after the covered peril occurred, contrary to the statutory scheme designed to prevent post-risk withdrawal of protection.

224. Fay

and Metropolitan are also responsible under negligence per se principles because, as alleged, Metropolitan was the policyholder and Fay and Metropolitan were the parties that procured and controlled the lender-placed policy, administered the claim process, and could demand adjustment and payment. Fay's and Metropolitan's failure to act to prevent the unlawful effect of post-loss nullification, their refusal to facilitate payment, and their acquiescence in Great American's denial enabled and implemented the statutory harm the Insurance Code provisions were intended to prevent.

225.

Insurance Code §§ 677 (Mandatory Advance Notice of Cancellation/Reduction)

226.

These statutes require advance written notice and specified disclosures before cancellation or reduction can take effect. The purpose of advance notice is to provide affected insureds and homeowners a meaningful opportunity to replace coverage, avoid gaps, and protect their interests before coverage is withdrawn.

227. As

alleged, no compliant advance notice was provided that could lawfully eliminate lender-placed coverage as of the date of loss. Defendants' attempt to treat coverage as if it were not available after loss disregards the statutory notice structure, because cancellation cannot lawfully be made effective retroactively through a post-loss claim position when the required notice was not given and the peril had already occurred.

228.

Insurance Code §§ 331, 359 (Rescission Limited to Concealment or Misrepresentation). These statutes permit rescission only where an insured conceals or misrepresents material facts. The purpose is to limit the drastic remedy of treating a policy as void from inception to cases involving fraud or material nondisclosure, not to allow insurers to rewrite risk after a loss.

229. As

alleged in the Retroactive Cancellation factual allegations, Defendants did not identify any concealment or material misrepresentation by Plaintiffs. Great American's post-loss position was not based on fraud; it was based on the existence of other insurance. Because the statutory conditions for rescission were not present, Defendants' attempt to deprive Plaintiffs of policy benefits after loss is the type of harm the rescission statutes are designed to prevent—unjustified nullification of coverage without the legally required predicate of misrepresentation.

230.

Civil Code § 3273.23 (Mortgage Forbearance Act / Wildfire Disaster Mortgage Forbearance Standards). Civil Code section 3273.23, enacted as part of emergency wildfire-disaster legislation including Assembly Bill 238, imposes mandatory duties on mortgage servicers to protect borrowers from cascading default, fee accrual, and credit damage arising from temporary disaster-related hardship. The statute embodies a legislative determination that servicer delay, denial of relief, and continued penalty-based servicing during wildfire recovery create precisely the type of escalating financial harm the law was enacted to prevent.

231. As

alleged in the Failure to Grant Forbearance factual allegations, Plaintiffs requested wildfire-related forbearance and provided information demonstrating disaster-related hardship shortly after the wildfire destroyed their home. Fay

and Metropolitan delayed for months before issuing a decision and then denied relief based on the assertion that Plaintiffs' "hardship had not been resolved." Because the statute exists to provide relief during ongoing hardship caused by wildfire, denying forbearance because the hardship persists defeats the statute's purpose. Fay and Metropolitan also imposed late fees and allowed delinquency and adverse credit consequences to accrue while relief was requested and disaster hardship was known—conduct that the statute was enacted to prevent.

232. As

alleged in the Failure to Grant Forbearance factual allegations, Fay and Metropolitan treated the loan as delinquent and imposed and attempted to collect charges that flowed from their failure to provide the disaster protections described above, and they reported adverse credit information despite the disaster context and relief request.

233.

Defendants' violations proximately caused injury to Plaintiffs' property interests, including loss of insurance proceeds, impairment of the right to rebuild the destroyed dwelling, and economic harm to Plaintiffs' business and financial condition, constituting injury to property within the meaning of Evidence Code section 669."

234.

Plaintiffs are within the class of persons the above enactments were designed to protect: homeowners and borrowers exposed to catastrophic harm if (a) property insurance is stripped after loss or (b) disaster relief is defeated by delay, fee escalation, and credit harm. The injuries Plaintiffs suffered—loss of insurance proceeds after a covered loss; accumulation of delinquency charges; impairment of credit and business; and increased foreclosure risk—are exactly the types of injuries these enactments were intended to prevent. Defendants' statutory violations were substantial factors in causing those injuries. Accordingly, Defendants are presumed negligent and are liable for all damages proximately caused thereby.

235. As

a direct and proximate result of Defendants' negligence, Plaintiffs have suffered damages including, but not limited to, economic losses, increased financing costs, loss of insurance proceeds, impairment of property interests, and non-economic damages including emotional distress, anxiety, and loss of

security arising from the destruction of their home and Defendants' conduct thereafter.

(SAC ¶¶ 210-235.) As such, the SAC alleges duty, breach, causation, and damages.

Fay

and Metropolitan argue that the negligence cause of action fails as a matter of law because (1) financial institutions generally owe no duty of care to borrowers and (2) Plaintiffs' negligence claim is barred by the economic loss doctrine.

In

opposition, Plaintiffs point out that they allege duties arising both through statute by way of the Homeowners Bill of Rights ("HBOR") and through their affirmative undertakings and roles in administering disaster-related mortgage servicing.

The

HBOR can establish independent duties on lending institutions. (See *Sheen v. Wells Fargo Bank, N.A.* (2022) 15 Cal. 5th 905, 921 [acknowledging that "the extensive body of state and federal legislation and regulations that address mortgage servicing [...] including the Homeowner Bill of Rights" impose various duties on financial institutions, but declining to otherwise impose a duty for public policy reasons].) However, as discussed more fully below, Plaintiffs have not adequately alleged any actionable violations of the HBOR.

Further, with respect to the

economic loss doctrine, "the economic

loss rule provides: where a purchaser's expectations in a sale are frustrated

because the product he bought is not working properly, his remedy is said to be

in contract alone, for he has suffered only economic losses." (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988.)

"This doctrine hinges on a distinction drawn between transactions

involving the sale of goods for commercial purposes where economic expectations

are protected by commercial and contract law, and those involving the sale of

defective products to individual consumers who are injured in a manner which

has traditionally been remedied by resort to the law of torts." (*Ibid.*)

In summary, the economic loss doctrine applies when the parties have

entered into a contract; the plaintiff sues for tort damages, alleging defendant failed to perform as the contract requires; and negligently caused economic losses flowing from the breach. In such a case, plaintiffs are generally limited to recovery of those economic damages and cannot seek to expand their remedies beyond those available in contract. The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation.

A case in which the plaintiff sues a contractual party for fraud based on conduct committed during the course of a contractual relationship falls outside the economic loss doctrine.

(Rattagan

v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 44 (hereafter Rattagan).)

The economic loss rule is best understood as a specific application of the same independent tort principle reflected in *Tameny*, *Applied Equipment*, and *Freeman & Mills*. Whenever a contract breach causes physical harm to a person or property, the economic loss rule's limitation gives way to the recognition that an independent tort duty of care was likely also breached, resulting in an injury not contemplated and provided for by the parties. This is so because any contractual breach resulting in physical injury or property damage normally resides outside the reasonable expectations of the parties when they entered their contractual relationship. The inverse may also be true. When a contractual breach results only in economic losses, the pecuniary injury may fall within the scope of parties' precontractual expectations and their allocation of risks, and it is less likely to implicate the breach of a tort duty independent of their contractual rights and obligations. Whether the alleged harm arises independently from the contract can be a nuanced question.

When evaluating whether the parties' expectations and risk allocations bar tort recovery, the court must consider the alleged facts. First, applying standard contract principles, it must ascertain the full scope of the parties' contractual agreement, including the rights created or reserved, the obligations assumed or declined, and the provided remedies for breach. Second, it must determine whether there is an independent tort duty to refrain from the alleged conduct. Third, if an independent duty exists, the court must consider

whether the plaintiff can establish all elements of the tort independently of the rights and duties assumed by the parties under the contract.

The guiding and distinguishing principle is this. If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.”

(Rattagan,
supra, 17 Cal.5th at pp. 26-27.)

“The lesson to be drawn from this review is that contract and tort obligations are different. The independent tort principle, and its specific application in our economic loss rule cases, honors those differences. The law of contracts protects the interests of parties who enter into an agreement that secures rights and obligations of their choosing. The parties make clear those rights and obligations by the terms they put in the contract. Contract law functions to facilitate commerce by enforcing the agreement the parties adopt. Tort law operates on a different principle. A tort remedy arises, not based on an agreement between the parties, but because the defendant has violated a societal duty that the law itself imposes on everyone. A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty.” (Rattagan, supra, 17 Cal.5th at p. 37 [cleaned up].)

“But to be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties.” (Rattagan, supra, 17 Cal.5th at p. 37.)

“Within the context of the broader independent tort principles previously summarized, our answer

encapsulates steps one and three of the required analysis: (1) a court must ascertain the full scope of the parties' contractual agreement; and (3) the court must determine whether the plaintiff can establish all elements of the tort independent of the rights and duties assumed by the parties under the contract. Step two is satisfied here because, as discussed post, the independent tort duty to refrain from engaging in fraudulent conduct is well established by statute and common law."

(Rattagan, supra, 17 Cal.5th at p. 38 [cleaned up].)

Again, because Plaintiffs fail to adequately allege any actionable breaches of duties arising by statute, they have not adequately alleged tort duties independent from the contractual ones to withstand demurrer.

v.

Fourteenth

Cause of Action – Negligent Misrepresentation

Fay and Metropolitan demur to the fourteenth cause of action for negligent misrepresentation on the ground that they owe no duty in negligence. But the duties underlying the negligent misrepresentation cause of action are the same duties underlying the cause of action for negligence. To wit:

428. Defendants owed Plaintiffs a duty to exercise reasonable care in communicating information to Plaintiffs. That duty arose not from a mere lending relationship, but from Defendants' affirmative conduct in undertaking to guide, advise, and control Plaintiffs' participation in a disaster-related forbearance and loss-mitigation process, and in administering insurance-related matters affecting the Property.

430. Defendants' duty was further reinforced by applicable statutory and regulatory frameworks governing mortgage servicing and foreclosure prevention, including the California Homeowner Bill of Rights, which imposes obligations on servicers to evaluate borrowers for loss mitigation alternatives and to conduct that process accurately, in a coordinated manner, and without misleading borrowers. Defendants also operated within the context of emergency disaster-related protections, including directives and bulletins issued in response to the January 2025 wildfire, which were intended to prevent immediate adverse consequences to affected homeowners and to ensure meaningful access to

relief.

431. In addition, Defendants undertook responsibilities relating to insurance coverage affecting the Property. Defendants placed lender-placed insurance on the Property, charged the premium to Plaintiffs' account, and represented that they were assisting, coordinating, or supporting Plaintiffs in connection with insurance claims arising from the wildfire loss. By inserting themselves into the insurance process and representing that they were providing such assistance, Defendants assumed a further duty to provide accurate information regarding the interaction between insurance recovery, loan servicing, and Plaintiffs' financial obligations.

(SAC

¶¶ 428, 430-431.)

Therefore,

for the same reasons the Court sustains Fay's and Metropolitan's demurrer to the third cause of action for negligence, the Court similarly overrules Fay and Metropolitan's demurrer to the fourteenth cause of action for negligent misrepresentation.

vi.

Twelfth Cause

of Action – Homeowner's Bill of Rights

369. Element 1: Applicability
of HBOR

370. At all relevant times,
the subject loan was a first lien mortgage secured by owneroccupied residential real property located at 713 Wildomar Street, Pacific Palisades, California (the "Property"). The Property was Plaintiffs' primary residence. Accordingly, the loan and Plaintiffs qualify for the protections afforded by the California Homeowner Bill of Rights ("HBOR").

371. Defendant Fay Servicing,
LLC ("Fay") acted as the mortgage servicer within the meaning of Civil Code section 2920.5 and was responsible for evaluating Plaintiffs for loss mitigation alternatives, including forbearance and other foreclosure prevention measures. Metropolitan acted as the lender, mortgagee, beneficiary, and

principal, and participated in, ratified, and benefited from the servicing conduct described herein. Civil Code section 2924.12 authorizes relief against a mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent. At all relevant times, Fay acted as Metropolitan's authorized servicer and agent with respect to the servicing of Plaintiffs' loan, the evaluation of loss mitigation, the communication of default status, the assessment of fees, and the advancement of the loan toward non-retention outcomes. Metropolitan exercised control over, ratified, approved, and benefited from Fay's servicing conduct, including the decision to delay evaluation, continue delinquency treatment, assess charges, and advance the loan toward short sale and threatened foreclosure. Fay and Metropolitan acted in concert with one another and within the course and scope of their agency and servicing relationship.

372. Element 2: Failure to

Provide Proper Acknowledgment and Deficiency Notices (Civil Code § 2924.10)

373. Civil Code section

2924.10 requires that when a borrower submits a loss mitigation application or any document in connection with it, the servicer must provide written acknowledgment within five business days. That acknowledgment must accurately identify any missing documents and state any deadlines.

374. Plaintiffs submitted

their Borrower Assistance Application on January 15, 2025. Defendants failed to provide written acknowledgment within five business days as required by Civil Code § 2924.10.

375. Instead of complying

with section 2924.10, Defendants engaged in a pattern of delay and obstruction. Plaintiffs submitted a Borrower Assistance Application on or about January 15, 2025. Defendants failed to provide the required written acknowledgment within five business days of that submission, in violation of Civil Code section 2924.10. Rather than providing clear, definitive, and timely statutory notices of missing information, Defendants repeatedly demanded duplicative documents and deemed previously submitted materials "stale" due solely to their own internal delays. This forced Plaintiffs into a rolling cycle of resubmission, artificially prolonged the review status, and prevented the application from being formally closed or approved, thereby obstructing the loss mitigation process. Defendants' conduct was designed to prevent Plaintiffs' application from ever being formally deemed 'complete,' thereby

attempting to evade the statutory protections triggered by a complete application. This pattern mirrors conduct identified in prior regulatory enforcement actions against Fay Servicing, in which regulators found that Fay delayed application processing and allowed default consequences to advance during review periods.

376. Element 3: Evasion of

Dual Tracking Prohibitions (Civil Code § 2923.6). Civil Code section 2923.6 prohibits a mortgage servicer from recording a notice of default, notice of sale, or conducting a trustee's sale while a complete loss mitigation application is pending. Courts recognize that a servicer may not evade the dual-tracking prohibition through artificial delay, obstruction, or manipulation of the application process, including repeated reclassification of submitted materials as incomplete.

377. As alleged herein,

Plaintiffs suffered catastrophic hardship following the January 7, 2025 wildfire, which destroyed the Property. Plaintiffs promptly requested disaster-related forbearance and submitted a Borrower Assistance Application along with all required documentation. By January 2025, Plaintiffs had submitted all documents requested by Defendants, including proof of hardship, financial information, and supporting documentation, and no specific additional documents were identified as missing. Plaintiffs' application was therefore complete within the meaning of Civil Code section 2923.6

378. Despite the completeness

of the application, Defendants failed to conduct a timely, good-faith evaluation. Instead, Defendants engaged in a pattern of delay and obstruction, including repeatedly requesting duplicative documents, deeming previously submitted materials stale due solely to their own internal delays, and maintaining Plaintiffs in a perpetual state of under review without rendering a final decision.

379. Defendants did not issue

a timely written determination, did not provide a clear statement of denial, and did not afford Plaintiffs a meaningful opportunity to appeal as required under Civil Code section 2923.6. Instead, Defendants prolonged the process while simultaneously positioning the loan for non-retention outcomes.

380. Element4: Prohibited

Advancement Toward Foreclosure and Imminent Threat of Recording (Civil Code § 2924.11)

381. Civil Code section

2924.11 prohibits a mortgage servicer from advancing the foreclosure process or pursuing non-retention outcomes while a complete loss mitigation application is pending. Civil Code section 2924.12(a)(1) expressly authorizes a borrower to seek injunctive relief to enjoin such material violations before a foreclosure sale occurs.

382. As alleged herein, while

Plaintiffs' complete application remained pending from approximately January 2025 through December 2025, Defendants engaged in conduct that advanced the loan toward foreclosure and liquidation outcomes.

383. Specifically, Defendants

issued a written short-sale determination dated December 8, 2025, which expressly warned that the loan could be referred to foreclosure, that foreclosure proceedings could continue, and that a foreclosure sale could occur if Plaintiffs did not accept the proposed short sale. This written communication constitutes direct evidence that Defendants were preparing and intending to proceed with foreclosure-related action. This communication demonstrates that Defendants were actively advancing the loan toward foreclosure while maintaining that Plaintiffs' application remained under review.

384. In violation of Civil

Code section 2923.6, Defendants threatened and took steps toward recording a Notice of Default and Notice of Sale while Plaintiffs' complete loss mitigation application remained pending. To the extent Defendants contend that any foreclosure prevention alternative was under consideration or conditionally approved, Defendants further violated Civil Code section 2924.11 by continuing to advance the foreclosure process rather than halting such activity as required. The threatened recording of a Notice of Default or Notice of Sale would fundamentally alter Plaintiffs' legal rights and position, triggering statutory timelines and remedies that cannot be undone without court intervention. Fay and Metropolitan did not issue a written denial of Plaintiffs' disaster-related forbearance request until December 8, 2025, at which time Fay and Metropolitan issued a letter to impose a non-retention outcome, a true and correct copy of which is attached as Exhibit B (Fay's and

Metropolitan's non-retention letter). The letter stated that Plaintiffs were eligible for a Short Sale and warned that if the offer was not accepted soon, Fay could refer the loan to foreclosure, or if the loan had already been referred, foreclosure proceedings could continue, and a foreclosure sale could occur.

385. Defendants' conduct

demonstrates an anticipatory and ongoing violation of HBOR, placing Plaintiffs at immediate risk of losing their Property.

386. At the same time,

Defendants internally treated the loan as delinquent and escalated default-related activity while outwardly maintaining that Plaintiffs' application remained under active review, thereby creating a false appearance of compliance while advancing toward foreclosure.

387. Plaintiffs bring this

action to enjoin these imminent and prohibited acts before irreparable harm occurs, as expressly contemplated by Civil Code section 2924.12(a)(1), which authorizes injunctive relief to enjoin material violations prior to foreclosure.

388. Plaintiffs will suffer

immediate and irreparable harm if Defendants are not enjoined from proceeding with foreclosure-related activity. The loss of Plaintiffs' Property through foreclosure would constitute a unique and irreplaceable injury that cannot be adequately compensated by monetary damages alone. Once a Notice of Default or Notice of Sale is recorded, the foreclosure process will accelerate, placing Plaintiffs at imminent risk of losing their home and remaining equity. Plaintiffs have no adequate remedy at law to prevent this harm other than injunctive relief. Plaintiffs are likely to succeed on the merits of their HBOR claims for the reasons alleged herein, and the balance of equities strongly favors preventing Defendants from proceeding with foreclosure in violation of statutory protections.

389. Plaintiffs remain ready,

willing, and able to comply with any lawful loss mitigation requirements and have at all times cooperated with Defendants' requests, further demonstrating that Defendants' conduct—not any failure by Plaintiffs—has caused the current default posture and imminent foreclosure risk.

390. Element 5: Materiality
and Resulting Harm (Civil Code § 2924.12)

391. HBOR violations are
material where they affect a borrower's ability to obtain foreclosure
prevention alternatives or otherwise avoid foreclosure.

392. Defendants' violations
were material because they deprived Plaintiffs of a meaningful opportunity to
obtain disaster-related forbearance, caused the loan to be placed into an
artificially escalated default status, and subjected Plaintiffs to unnecessary
financial harm and imminent foreclosure risk.

393. Defendants' misconduct
occurred in the context of a catastrophic wildfire that destroyed Plaintiffs'
home and during a period in which Plaintiffs were entitled to heightened
protections designed to stabilize homeowners and prevent cascading financial
harm. These protections included directives issued by the California Insurance
Commissioner, including California Department of Insurance Bulletin 2025-1,
which imposed a moratorium on cancellation and nonrenewal of residential
property insurance policies in wildfire-affected areas, including Plaintiffs'
ZIP code.

394. Rather than act in good
faith and in accordance with these protections, Defendants compounded
Plaintiffs' hardship by obstructing loss mitigation, imposing improper fees,
damaging Plaintiffs' credit, and advancing the loan toward foreclosure despite
the pending application.

395. As a direct and
proximate result of Defendants' violations, Plaintiffs suffered substantial
harm, including but not limited to wrongful assessment of more than \$7,510 in
fees and charges, severe credit damage resulting in a drop below 600 and
increased borrowing costs, loss of business opportunities and access to credit,
and emotional distress arising from the imminent threat of foreclosure and loss
of equity.

396. To the extent permitted
under Civil Code section 2924.12, Plaintiffs seek recovery of actual damages
resulting from Defendants' violations.

397. Plaintiffs seek injunctive relief to enjoin Defendants' ongoing and imminent violations pursuant to Civil Code section 2924.12(a)(1), and seek damages only to the extent authorized by statute.

398. Plaintiffs seek reasonable attorneys' fees and costs pursuant to Civil Code section 2924.12(h).

(SAC ¶¶ 369-398.)

Fay and Metropolitan argue that Plaintiffs fail to adequately allege violations of Civil Code sections 2923.6, 2924.10, and 2924.11.

With regard to section 2923.6, Fay and Metropolitan argue that loan services cannot record a notice of default or notice of sale or conduct a trustee's sale while a borrower's "complete" first lien loan modification application is pending. Further, Plaintiffs allege breaches of Section 2923.6 by "fail[ing] to conduct a timely, good-faith evaluation" and by "not issue a timely written determination," "a clear statement of denial," or "a meaningful opportunity to appeal." (SAC ¶¶ 378-379.)

Thus, Fay and Metropolitan argue, Plaintiffs do not allege a violation of Section 2923.6, because they do not allege Fay or Metropolitan recorded a notice of default or notice of sale or conducted a trustee's sale while the first lien loan modification was pending. Further, they argue, Exhibit B to the SAC contradicts the allegations that there was no timely, clear statement of denial or meaningful opportunity to appeal, as the December 2025 letter attached as Exhibit B both contains a clear statement of the reasons for denial and provides instructions on how to appeal.

Plaintiffs do not address this argument in opposition, although the failure of Section 2923.6 alone does not defeat the entire cause of action.

With regard to Section 2924.11, Fay and Metropolitan argue that, although Plaintiff

alleges Section 2924.11 “prohibits a mortgage servicer from advancing the foreclosure process or pursuing non-retention outcomes while a complete loss mitigation application is pending,” (SAC ¶ 381), that section actually provides: “If a foreclosure prevention alternative is approved in writing prior to the recordation of a notice of default, a mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent shall not record a notice of default” until certain conditions are satisfied. (Civ. Code, § 2924.11, subd. (a).)

Plaintiffs

point out in opposition that subdivision (f) of Section 2924.11 provides: “[t]he mortgage servicer shall not collect any late fees for periods during which a complete first lien loan modification application is under consideration or a denial is being appealed, the borrower is making timely modification payments, or a foreclosure prevention alternative is being evaluated or exercised.”

In

reply, Fay and Metropolitan argue that the SAC does not allege any violations of subdivision (f). The Court agrees. The SAC alleges Fay and Metropolitan advanced the loan toward foreclosure while the application remained pending by issuing a short-sale determination warning that the loan could be referred to foreclosure if Plaintiffs did not accept the short sale. (SAC ¶¶ 382-383.) The SAC does not allege that Fay or Metropolitan filed a notice of default or notice of sale after a foreclosure prevention alternative was approved, pursuant to subdivisions (a) or (b), nor that they collected fees while the application was pending, in violation of subdivision (f).

With

regard to Section 2924.10, the code provides:

When a borrower submits a complete first lien modification application or any document in connection with a first lien modification application, the mortgage servicer shall provide written acknowledgment of the receipt of the documentation within five business days of receipt.

(Civ. Code, § 2924.10, subd. (a).)

Plaintiffs

allege Fay and Metropolitan violated this section by failing to provide the letter within five days as required after Plaintiffs submitted their request for assistance in January 2025. (SAC ¶ 374.) Fay and Metropolitan argue this is insufficient to state a claim because it would only entitle Plaintiffs to injunctive relief until they receive the benefits of the statute, which they did by way of the December 8, 2025 letter attached as Exhibit B to the SAC.

Plaintiffs

point out in opposition that Section 2924.12 permits injunctive relief before a trustee's deed upon sale has been recorded and economic damages after it has been recorded, and that they have requested both in the alternative.

However,

Plaintiffs do not allege a trustee's deed upon sale has been recorded, and Exhibit B demonstrates that the failure to timely provide the letter has since been cured, meaning injunctive relief is no longer warranted.

Therefore,

the Court sustains Fay's and Metropolitan's demurrer to the twelfth cause of action for violations of the Homeowner Bill of Rights.

2.

LEAVE TO AMEND

A

plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See *The Inland Oversight Committee v. City of San Bernardino* (2018) 27 Cal.App.5th 771, 779; *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.* (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See *PGA West Residential Assn., Inc. v. Hulven Int'l, Inc.*, *supra*, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that "if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend." (See *Major Clients Agency v Diemer* (1998) 67 Cal.App.4th 1116, 1133; *Graham v. Bank of America* (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiffs

have failed to meet this burden as they do not address whether leave should be granted if the demurrer is sustained.

CONCLUSION AND ORDER

For the reasons stated, the Court overrule Fay's and Metropolitan's demurrer to the first cause of action for breach of contract and fifth cause of action for the contractual breach of the implied covenant of good faith and fair dealing, but sustains without leave to amend Fay's and Metropolitan's demurrer to the second cause of action for fraud, third cause of action for negligence, twelfth cause of action for violations of the Homeowners Bill of Rights, and fourteenth cause of action for negligent misrepresentation.

Further, the Court orders Fay and Metropolitan to file and serve an Answer or Answers to the SAC on or before August 21, 2026.

Further, Fay and Metropolitan shall lodge a proposed Order in conformity with the Court's ruling on the Demurrer on or before August 21, 2026.

Fay and Metropolitan shall also provide notice of the Court's ruling/Order and file the notice with a proof of service forthwith.

DATED: August 11, 2026 _____/s/_____

Michael

E. Whitaker

Judge

of the Superior Court

[1] "To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action. The demurrer admits the truth of all material facts properly pleaded, including all ultimate facts alleged, but not contentions, deductions or conclusions of fact or law." (Simple Avo Paradise Ranch, LLC v. Southern California Edison Co. (2024) 102 Cal.App.5th 281, 299, citations omitted.) Ultimate facts are those "constituting the cause of action" or those upon which liability depends, e.g.,

duty of care, breach of the duty and causation (damages). (See *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) "[T]he term ultimate fact generally refers to a core fact, such as an essential element of a claim. Ultimate facts are distinguished from evidentiary facts and from legal conclusions." (Central Valley General Hosp. v. Smith (2008) 162 Cal.App.4th 501, 513 [cleaned up]; see also *Rodriguez v. Parivar, Inc.* (2022) 83 Cal.App.5th 739, 750–751 ["The elements of a cause of action constitute the essential or ultimate facts in a civil case"].)